

Multiple Choice (10 marks)

1. According to Say's law
 - (a) when price goes up supply goes up
 - (b) it is better to give than receive
 - (c) demand creates its own supply
 - (d) supply creates its own demand
2. Of the following choices the one most likely to be preferred by supply-side economists would be
 - (a) increased government spending.
 - (b) higher tariffs on imported goods.
 - (c) lower taxes on household income.
 - (d) a tax credit on capital investment.
3. When the labor demand curve is downward-sloping, an increase in the minimum wage is
 - (a) beneficial to some workers and harmful to other workers
 - (b) beneficial to all workers and harmful to some employers
 - (c) harmful to all workers and employers
 - (d) beneficial to all workers and employers
4. Which of the following is a fundamental aspect of the free market system?
 - (a) A high degree of government involvement.
 - (b) Public ownership of resources.
 - (c) Private property.
 - (d) Central planners set wages and prices.
5. In the long run aggregate supply is
 - (a) upward sloping at full employment.
 - (b) horizontal below full employment.
 - (c) vertical at full employment.
 - (d) vertical below full employment.

True / False (10 marks)

Answer True or False

6. True or False: A negative externality in a market occurs when resources are overallocated to the production of a good, harming societal welfare.
7. True or False: A decrease in the money supply will raise the price level and output in the economy according to Classical economic theory.
8. True or False: When nominal GDP rises, money demand increases as consumers need more money for transactions, which can lead to higher interest rates.
9. True or False: Monetarists believe that the velocity of money (V) and output (Q) are constant over time without fluctuations.
10. True or False: The aggregate demand curve is a horizontal summation of market demand curves for individual goods.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss the predictable economic consequences of import quotas, focusing on their impact on consumer prices and resource allocation among producers.
12. Discuss the effects of a rise in the real interest rate on the demand for a nation's currency, its value, and the implications for net exports. Provide a detailed analysis.

End of Paper